

Beltone

Risk Readiness

Assessment.

GROUP RISK ASSESSMENT

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ASSESSMENT PURPOSE

Assessment of **Beltone (Egypt)** risk readiness across the subsidiary stack. Objectives: validate maturity across all risk types, identify control gaps, evaluate alignment with Avalora Group risk frameworks, and define a prioritised remediation plan.

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Risk snapshot.

Technology & Data Integrity HIGH	Fraud Risk HIGH	PQR Standardisation HIGH	Performance Risk (HR) HIGH	Operational Risk • RCSA / SoD HIGH
Microfinance • Key-man & Black Box HIGH	Seven • Maker-Checker & Tech MEDIUM	Governance & Compliance HIGH	Framework Alignment MEDIUM	Cyber Risk OUT OF SCOPE

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Top findings.

01 Scalability & Data Integrity

HIGH

The current technology landscape is not conducive to growth. Over-reliance on manual processes poses a direct risk to data accuracy and operational resilience. Factoring & Leasing is the only organised stack. A clear, actionable technology upgrade plan is required.

02 Fraud Risk

HIGH

Identified incidents require immediate attention. Lack of automation and weak controls increase exposure. Root-cause analysis, corrective action plan, and formal incident documentation must be prioritised without delay.

03 PQR Standardisation

HIGH

PQRs are submitted in multiple formats across entities, fragmenting group-level monitoring. Group prototype PQR dashboard has been presented to Beltone Risk & IT. Execution plan with IT required; follow-up call to be scheduled on forward-looking scenarios.

04 Performance Risk (Risk-team HR)

HIGH

Risk function lacks defined objectives, structured KPIs, formal documentation, and clearly articulated roles & responsibilities. Needs a formal HR governance framework with measurable risk outcomes.

05 Operational Risk & RCSA

HIGH

RCSA process has been kicked off but risk-mitigation and control plans are not yet in place. Segregation of duties shows material weaknesses. Maker-checker absent in core teams.

06 Governance & Compliance

HIGH

Non-compliance with policies; risk control over subsidiaries is weak. Lack of standardised reporting and trend visibility limits oversight. Group frameworks shared; alignment review pending.

Detailed assessment & *action plan.*

iii Detailed findings & actions.

#	CATEGORY	FINDING	RISK	ACTION ITEMS	OWNER
01	Technology & Data Integrity	Manual processes dominate; only Factoring & Leasing organised. Direct risk to data accuracy, controls, and scalability.	HIGH	- Develop a technology upgrade roadmap by entity - Automate top-10 manual workflows - Implement core data-quality controls and lineage - Define interim manual-control compensating measures	
02	Fraud Risk	Identified incidents pending closure. Limited automation and controls elevate exposure across origination and post-disbursal.	HIGH	- Conduct root-cause analysis on identified incidents - Issue corrective action plan with timelines - Stand up a formal fraud incident register - Refresh KYC / AML controls and monitoring	
03	PQR Standardisation	Reports submitted in varied formats; trends unclear; ad-hoc submissions across entities. Group prototype demoed to Beltone Risk & IT.	HIGH	- Adopt group PQR template across all entities - Define IT execution plan & integration milestones - Schedule call on forward-looking scenario design - Set monthly cadence with Group Risk review	
04	Performance Risk (Risk-team HR)	No defined objectives, structured performance metrics, formal documentation, or articulated R&R for the risk function.	HIGH	- Define risk-team objectives aligned to group KRIs - Issue role descriptions & performance metrics - Establish formal HR governance framework - Set quarterly performance review cycle	
05	Operational Risk · RCSA & SoD	RCSA initiated but mitigation & controls not designed. Segregation-of-duty gaps; no maker-checker in core teams.	HIGH	- Close RCSA cycle with mitigation plans per risk - Design & deploy SoD matrix; close conflicts - Implement maker-checker workflow in core processes - Schedule control-testing and KCI tracking	
06	Microfinance · Black Box & Key-man	Limited transparency into microfinance operations; decision-making centralised on a single individual; low appetite for technology adoption.	HIGH	- Onboard MF to group risk visibility & reporting - Define succession plan to remove key-man dependency - Mandate technology adoption roadmap - Embed a Group Risk officer for 90-day handhold	
07	Seven · Maker-checker & Tech	Limited advanced tech infrastructure; absence of maker-checker controls; outdated practices limiting growth.	MEDIUM	- Implement maker-checker workflow in priority processes - Tech-infrastructure assessment & modernisation plan - Phase out outdated practices on quarterly review	
08	Governance & Compliance	Non-compliance with policies; weak risk control over subsidiaries; weak overall governance posture across entities.	HIGH	- Stand up a monthly subsidiary governance forum - Issue a compliance scorecard per entity - Schedule policy-adherence audit - Define escalation matrix to Group Risk	
09	Framework Alignment	Avalora risk frameworks & policies have been shared with Beltone. Beltone's frameworks pending submission for group review & alignment.	MEDIUM	- Receive Beltone's frameworks & policies for review - Map divergences against group baseline - Sign off aligned framework with Beltone CRO	
10	Cyber Risk	Not reviewed in this assessment. Sits within the CTO's purview.	00S	- Route relevant observations to Saket's team - Track resolution via the group cyber forum	

Company-level *observations.*

MICROFINANCE

Pronounced key-man dependency, with decision-making heavily centralised on a single individual. Limited appetite for technology adoption; preference for manual processes. Treat as a Group Risk priority.

SEVEN

Lack of advanced technology infrastructure, absence of maker-checker controls, and continuation of outdated practices are collectively limiting the company's growth potential. Modernisation roadmap required.

FACTORING & LEASING

The only entity with reasonably organised processes. Use as a reference baseline for the rest of the Beltone stack; codify operating model and apply to peers.

Recommended *next steps.*

01

Stand up a 90-day Beltone risk programme under Group Risk oversight, anchored on the priority actions above.

02

Embed a Group Risk officer at Beltone for the first quarter to drive RCSA closure and SoD design.

03

Lock the PQR rollout with Beltone IT and schedule the forward-looking scenarios working session.

04

Mandate tech roadmaps for Microfinance and Seven, with monthly progress reviews.

05

Convene a Beltone Board risk session to communicate findings and secure ownership at the highest level.